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BACKGROUND

On
November 13, 2025, Plaintiff commenced this action against General Motors alleging
violations of Statutory Obligations under the Song-Beverly Act, and fraudulent
concealment.

On
April 24, 2026, Plaintiff filed the operative First-Amended Complaint ("FAC").

On
May
8, 2026, Defendant filed the instant Demurrer
to the FAC.

On June 30, 2026, Plaintiff filed an
opposition.

On July 6, 2026, Defendant filed a reply.

DISCUSSION

Applicable
Law

Code of Civil Procedure ("CCP") section 430.10
subdivision (e) is grounds for a demurrer when the complaint fails to state
facts sufficient to constitute a cause of action. CCP § 430.10(f) is grounds

for a demurrer when the complaint is uncertain (vague and ambiguous). For purposes of ruling on a demurrer, material facts properly pleaded in the complaint must be taken as true. (Serrano v. Priest (1971) 5 Cal.3d 584, 491.)

A demurrer may challenge only defects that appear on the face of the pleading or from matters which are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 31; Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994; California Practice Guide, Civil Procedure Before Trial, ¶7:8 (The Rutter Group 2024).)

The function of a demurrer is to test the legal sufficiency of a complaint, but not the truthfulness of the allegations. (Donabedian v. Mercury Ins. Co., supra, 116 Cal.App.4th at 994; Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; SJJC Aviation Services, LLC v. City of San Jose (2017) 12 Cal.App.5th 1043, 1051-1052; California Practice Guide, Civil Procedure Before Trial, ¶7:5 (The Rutter Group 2024).) Demurrers are to be sustained where a pleading fails to plead adequately any essential element of the cause of action. (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 879-80.)

“'A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed (Code Civ. Proc., §§ 430.30, 430.70). The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.'” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; Accord McKenney v. Purepac Pharmaceutical Co. (2008) 162 Cal.App.4th 72, 79.) When considering demurrers, courts read the allegations liberally and in context. (McKenney, supra, 167 Cal.App.4th at 77; Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.)

“If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

Analysis

A.
Meet and Confer

"Before filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person, by telephone, or by video conference with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. If an amended complaint, cross-complaint, or answer is filed, the responding party shall meet and confer again with the party who filed the amended pleading before filing a demurrer to the amended pleading." (Code of Civil Procedure ("CCP") § 430.41.)

On May 5, 2026, counsel for GM met and conferred with Plaintiff's counsel via telephone regarding GM's intended Demurrer to the First Amended Complaint, including the specific grounds for the Demurrer. (Perez Decl., ¶ 2.) The parties were not able to informally resolve the issues relating to the deficiencies in each of the causes of action asserted in the FAC. (Ibid.)

Here, these meet and confer efforts are sufficient.

A.
Fourth Cause of Action – Expiration of Statute of Limitations

Under the Song-Beverly Act, the duration of the implied warranty of merchantability is no more than one year:

The duration of the implied warranty of merchantability. . . shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable; but in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer. Where no duration for an express warranty is stated with respect to consumer goods, or parts thereof, the duration of the implied warranty shall be the maximum period prescribed above.

(Civ. Code, §1791.1(c).)

“[T]he implied warranty exists for at least 60 days and at most for one year after delivery of the product; after that time, the warranty ceases to exist.” (Mexia, supra, 174 Cal.App.4th at p. 1309. Therefore, the implied warranty can only be breached during the duration of the warranty. (Id. at p. 294.)

However, the fact that the implied warranty has a duration of 60 days to one-year, does not mean that the plaintiff must discover the breach within that duration. “There is nothing that suggests a requirement that the purchaser discover and report to the seller a latent defect within that time period.” (Mexia, supra, 174 Cal.App.4th at p. 1310.) This is because “implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale.” (Id. at p. 1304.) To prevail on a claim for breach of the implied warranty, a plaintiff needs only show that the defect existed during the duration of the warranty, even if the latent defect was discovered at a later time. “In the case of a latent defect, a product is rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery.” (Mexia, supra, 174 Cal.App.4th at p. 1310.) “Thus, by giving the implied warranty a limited prospective existence beyond the time of delivery, the Legislature created the possibility that the implied warranty could be breached after delivery.” (Id. at p. 1309 [italics added].) Therefore, a claim for breach of the implied warranty under the Song-Beverly Act, is different “from the Uniform Commercial Code, under which the implied warranty could be breached only at the time of delivery.” (Ibid.)

“The statute of limitations for breaches of the implied warranty of merchantability is four years.” (Montoya v. Ford Motor Co. (2020) 46 Cal.App.5th 493, 495; see also (Mexia, supra, 174 Cal.App.4th at p. 1306, fn. 6 [“the statute of limitations for an action for breach of warranty under the Song–Beverly Act is four years pursuant to section 2725 of the Uniform Commercial Code.”].) “By providing a duration period for the implied warranty of merchantability, Civil Code section 1795.5, subdivision (c), contemplates that a breach may occur either when the goods are first purchased, or afterwards, when a latent defect is discovered by the buyer." (Jones v. Credit Auto Center, Inc. (2015) 237 Cal.App.4th Supp. 1, 9.) "In the case of a latent defect, the implied warranty is breached by the existence of the unseen defect, not by its subsequent discovery." (Mexia, supra, 174 Cal.4th 1297 at p. 1305.)

Thus, a plaintiff may bring suit within four years of discovering the latent defect if the claim is based on allegations that the latent defects existed within the one-year period but were not discovered until months or years later. (See Mexia, at p. 1305 ["Thus, although a defect may not be discovered for months or years after a sale, merchantability is evaluated as if the defect were known."] [italics added]; Mills v. Forestex Co. (2003) 108 Cal.App.4th 625, 642 [Homeowners' breach of implied warranties of fitness and merchantability claim against builder for latent defect in siding was subject to four-year limitations period from date of discovery of defect in siding].)

Defendant argues that Plaintiff's fourth cause of action for breach of implied warranty is time-barred. (Demurrer, pp. 9-10.) Defendant contends that the vehicle was delivered on May 14, 2021, and because a breach of implied warranty cause of action accrues when the sale is made, Plaintiff's breach of implied warranty cause of action accrued on that date and expired four years later on May 14, 2025. (Ibid.) Plaintiff did not file suit until November 13, 2025. (Ibid.)

Plaintiff argues that the statute of limitations on breach of the implied warranty of merchantability accrues when the breach is, or should have been, discovered, rather than upon delivery, and the FAC adequately alleges delayed discovery. (Opp., p. 4.)

Here, delivery of the Subject Vehicle occurred on or about May 14, 2021. (FAC, ¶ 6.) Plaintiff filed the instant action over four years later on November 13, 2025, making this claim time-barred on the face of the FAC. The FAC also fails to state sufficient facts to establish delayed discovery of a latent defect. There are no allegations regarding when latent defects were first discovered, when Plaintiff first took the vehicle in for servicing, and what happened when the vehicle was first presented to the dealership for servicing. As to when the defect was discovered, the FAC merely alleges “Plaintiff discovered Defendant's wrongful conduct alleged herein on or about October 15,2025 when they requested a buyback and/or restitution of the Subject Vehicle from GM, as the Vehicle continued to exhibit symptoms of defects following GM's unsuccessful repair attempts to repair them.” (FAC, ¶ 32.) As to any repair attempts, the FAC merely alleges “Plaintiff presented the Vehicle to Defendant GM’s authorized repair facilities on multiple occasions for repairs during the warranty period. However, Plaintiff continued to experience symptoms of the defects and non-conformities.” (FAC, ¶ 14.)

The
FAC further fails to identify when Plaintiff first discovered these purported unknown defects with the vehicle, what he did to learn more about potential issues with the Subject Vehicle, and in turn, Defendant's affirmative attempts to conceal this information from Plaintiff. The FAC’s allegations are insufficient to overcome the four-year statute of limitations bar.

Although
Plaintiff argues that a buyer may not know of a breach of Song-Beverly obligations until after the buyer provides the defendant with a reasonable number of repair attempts and the defect manifests again outside the warranty period, the FAC fails to allege that Plaintiffs provided Defendant with a reasonable number of repair attempts within the warranty period. The FAC does not allege any repair dates, instead only alleging the date that buyback was requested. Overall, the FAC fails to allege that the vehicle’s defects did not manifest until well after expiration of the warranties, which is necessary to claim delayed discovery.

As
the FAC fails to properly allege a latent defect, Plaintiffs’ breach of the implied warranty claim thus accrued, and the statute of limitations on the claim started running, at delivery. The implied warranty claim is thus untimely.

Therefore,
the demurrer to the Fourth Cause of Action for breach of implied warranty is SUSTAINED on the grounds that this claim appears time-barred on the face of the FAC. Leave to amend is discussed below.

B.
Fifth
Cause of Action, Fraudulent Concealment – Time Barred

Defendant argues that Plaintiff's Fraud claim is barred under Code of Civil Procedure section 338(d)'s three-year statute of limitations because in the absence of specific allegations to support tolling, the statute of limitations began to run on the purchase date, May 14, 2021, and expired three years later, on May 14, 2024.

Plaintiff again argues that delayed discovery tolls the statute of limitations.

Here, as discussed above, the FAC fails to properly allege delayed discovery and the claim is time-barred under the three-year statute of limitations.

Therefore, the demurrer to the Fifth Cause of Action for fraudulent concealment is SUSTAINED on the grounds that this claim appears time-barred on the face of the FAC.
Leave to Amend is discussed below.

C.
Fifth
Cause of Action, Fraudulent Concealment – Failure to Plead with Specificity

The elements for an action for fraud based on concealment are: "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868.) Suppression of a material fact is actionable only where there exists a duty to disclose, which may arise from a relationship between the parties, such as a buyer-seller relationship. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.)

Concealment claims are subject to the same specificity requirement as fraud claims, but plaintiffs are not required to plead how, when, where, to whom, and by what means a representation was made. (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384.) However, where a duty to disclose is premised on a relationship between the parties or on exclusive knowledge, the complaint must include specific allegations establishing: (1) the content of the omitted facts, (2) defendant's awareness of their materiality, (3) the inaccessibility of the facts to plaintiff, (4) the point at which the facts should or could have been revealed, and (5) justifiable and actual reliance. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 43–44.)

Defendant argues that Plaintiff's fraud cause of action fails because the FAC fails to allege facts with the requisite specificity as to essential elements, specifically a duty to disclose and justifiable/actual reliance. (Demurrer, pp. 12-17.)

Plaintiff argues that GM providing a warranty directly to Plaintiff constitutes a contractual relationship giving rise to a duty to disclose. (Opp., p. 9.)

Here, Plaintiff adequately alleges the existence of a material fact—a transmission defect—that was not disclosed at the time of purchase. (FAC ¶¶ 56-69.) As in Dhital, detailed engineering allegations are not required at the pleading stage where plaintiffs describe the nature of the defect and its manifestation. Plaintiff further alleges that GM knew of the defect, that the information was not reasonably discoverable by consumers, that GM actively concealed the defect during and after the sale, and that Plaintiff would not have purchased the Subject Vehicle had the defect been disclosed. (Ibid.) These allegations are sufficient, at least for pleading purposes, as to concealment, materiality, reliance, and resulting damages.

The claim fails, however, because the FAC does not sufficiently allege that GM owed a duty to disclose at the time of sale.

A

duty to disclose may arise where imposed by statute; where the parties stand in a fiduciary or confidential relationship; where the defendant has exclusive knowledge of material facts not reasonably discoverable by the plaintiff; where the defendant makes partial representations that are misleading absent additional disclosure; or where the defendant actively conceals a material fact. (Rattagan, supra, 17 Cal.5th at p. 40.) Critically, the latter three categories presuppose a preexisting relationship between the parties, such as one arising from a contractual or transactional setting. (Ibid.)

Plaintiff alleges a contractual relationship with GM based on express and implied warranties. (FAC ¶¶ 6-8.) However, the California Supreme Court has clarified that a vehicle manufacturer is not a party to the retail sales contract between a consumer and an independent dealership. (Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1128.) The manufacturer's warranties are independent of the sales contract and arise by statute upon delivery of the vehicle. (Id. at p. 1135.) Because the warranties come into existence upon sale, they do not establish a preexisting transactional relationship between GM and Plaintiff sufficient to impose a duty to disclose under Rattagan.

Nor does the FAC allege that the selling dealership acted as GM's agent, or that GM participated in or controlled the sales transaction. This case is therefore distinguishable from Dhital, where the plaintiffs expressly alleged that the manufacturer's authorized dealerships were its agents "for purposes of the sale of Nissan vehicles to consumers," and the court relied on those agency allegations in concluding a sufficient buyer-seller relationship had been pled at the pleading stage. (Dhital, supra, 84 Cal.App.5th at p. 844.) No comparable agency allegations are made here.

As presently alleged, GM's relationship to Plaintiff is indistinguishable from its relationship with the public at large—namely, that any purchaser of a new GM vehicle receives a manufacturer's warranty. Such a generalized relationship is insufficient to create the direct transactional nexus required to impose a duty to disclose. (Rattagan, supra, 17 Cal.5th at pp. 40–41.)

Although Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276 recognized that a sufficiently misleading affirmative representation or direct consumer advertising might, in some circumstances, give rise to a duty to disclose even absent a close transactional relationship, the FAC contains no allegations that GM made specific affirmative misrepresentations to Plaintiff or directly advertised in a manner that would trigger such an exception.

Accordingly,
Plaintiff has not adequately alleged that GM owed a legal duty to disclose the alleged defect at the time of sale. Without such a duty, the concealment claim cannot stand.

Therefore,
the demurrer to the Fifth Cause of Action for fraudulent concealment is SUSTAINED on the grounds that this claim fails to allege a duty. Leave to Amend is discussed below.

D.
Fifth
Cause of Action, Fraudulent Concealment – Economic Loss Rule

The economic loss
rule provides that "[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922 (quoting, Southern California Gas Leak Cases (2019) 7 Cal.5th 391, 400).) Furthermore, it "requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless he can demonstrate harm above and beyond a broken contractual promise." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson).)

Defendant
argues that Plaintiff's Fraud claim is barred by the economic loss rule because the fraud claim is based on disappointed expectations under the warranty contract, and the FAC nowhere alleges physical injury or any property damages outside of the alleged defective vehicle itself. (Demurrer, p. 19.)

Here,
claims of fraudulent inducement – concealment are not barred by the economic

loss rule per Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828. "[T]ort damages have been permitted in contract cases . . . where the contract was fraudulently induced." (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 990.)

Therefore, the demurrer to the Fifth Cause of Action for fraudulent concealment is OVERRULED on this ground.

Leave to Amend

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Ibid.) Where a pleading is successfully challenged on demurrer, "[t]he plaintiff has the burden of proving that an amendment would cure the defect." (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081.)

Plaintiff requests leave to amend but provides no specifics. As leave to amend should be granted whenever there is a reasonable possibility of successful amendment, the Court is prepared to grant it. However, this would be Plaintiff's second chance to amend the Complaint and there are glaring statute of limitations issues which may not be curable. At the hearing, Plaintiff must be prepared to explain in further detail what additional facts he will plead and exactly how he can amend to remedy the deficiencies in the FAC without making it a sham pleading. The Court will decide at the hearing whether to grant leave to file a Second Amended Complaint.

CONCLUSION

Defendant's Demurrer to the Fourth and Fifth Causes of Action is SUSTAINED. Leave to amend is conditioned on Plaintiff making the requisite showing at the hearing.

Moving party to give notice.